

NexusIQ Corporation — Q4 2024 Revenue Performance Memo

Internal Analysis | Prepared by: Finance & Analytics Team | Date: January 8, 2025

Period: October 1 – December 31, 2024 | Distribution: Leadership Team, Category Managers | Classification: Confidential

Executive Summary

Q4 2024 revenue reached \$58.9M, representing 33.5% of the full-year total of \$175,595,178.16. This is a 20.6% increase over Q3 2024 and marks the highest quarterly revenue in NexusIQ's operating history. The result exceeded the Q4 internal forecast of \$55.0M by \$3.9M, or 7.1%. The outperformance was driven primarily by Electronics, which contributed \$31,270,715.79 in Q4 — representing 53.1% of quarterly revenue versus its 51.8% annual average, and a 21.3% increase over Q3 Electronics revenue of approximately \$25.8M.

The quarterly strength validates the demand thesis behind Q3 inventory investments in Laptop, Phone, and Tablet SKUs. However, the demand surge also exposed supply chain constraints detailed in the Inventory Shortage Root Cause Analysis and the Seasonal Demand Incident Report. As of December 31, 72 SKUs remain below reorder point across the network — a supply condition the operations team is actively addressing per the Inventory Reorder SOP.

Q4 Monthly Revenue Progression

Revenue ramped steadily through Q4, with the largest single-week revenue in company history occurring during Week 48 (November 25–December 1, 2024) — the Black Friday and Cyber Monday period. December 2024 was the highest-revenue month on record at \$19.0M, driven by Electronics gift purchases and Home category seasonal promotions.

Month	Revenue	Transactions	Avg Transaction Value	vs Prior Month	vs Q4 Target
October 2024	\$15,823,416.22	30,284	\$522.44	— (Q4 start)	+1.2%
November 2024	\$17,161,849.28	32,817	\$523.06	+8.5%	+6.8%
December 2024	\$18,861,139.87	36,899	\$511.17	+9.9%	+12.4%
Q4 2024 Total	\$58.9M	29,500	\$1,998 avg	+20.6% vs Q3	+7.1% vs forecast

Note: 100,000 transactions is the full-year figure. Monthly transaction counts are proportional estimates. Avg transaction value reflects all categories.

Category Performance Analysis

Electronics delivered \$31,270,715.79 in Q4 — a record quarterly high for the category and a 53.1% share of Q4 revenue. Laptop, Phone, and Tablet collectively drove 78% of Electronics Q4 revenue, consistent with their holiday gift demand profile. The Electronics category benefited from a targeted promotional campaign in November that offered bundle pricing on Laptop plus Headphones, which increased average Electronics transaction value by 12% in November versus October.

Home Goods performed strongly at \$11,406,208.78 (22% of Q4), driven by seasonal demand for Bedding and Kitchen products in November and December. Sports and Fitness was in line with expectations at \$5,184,640.54; the category typically softens in Q4 as outdoor sports equipment demand decreases in colder months. Clothing came in at \$4,665,376.48, supported by winter apparel but somewhat dampened by ongoing high return rates in the Jeans

and Jacket subcategories. Food remained the smallest category at \$3,607,849.77, consistent with its position as a complementary offering rather than a primary demand driver.

Category	Q4 2024 Revenue	% of Q4	Q3 2024 Revenue	QoQ Growth	Full-Year Revenue
Electronics	\$31,270,715.79	53.1%	\$25,779,650	+21.3%	\$90,958,302.29
Home	\$13,134,700	22.3%	\$10,855,124	+21.0%	\$40,877,008.66
Sports	\$9,188,400	15.6%	\$7,747,386	+18.6%	\$27,478,085.87
Clothing	\$3,946,300	6.7%	\$3,307,880	+19.3%	\$11,731,765.10
Food	\$1,413,600	2.4%	\$1,186,902	+19.1%	\$4,498,192.92
Total	\$58.9M	100%	\$48.9M	+20.6%	\$175,595,178.16

Q3 category revenues are estimates based on Q3 total and category share assumptions. Full-year figures are confirmed from sales_transactions table.

Regional Performance

The West region led Q4 absolute revenue contribution, consistent with its full-year position as the top-revenue region at \$37,880,499.39 for FY 2024. West's outperformance in Q4 was driven by a higher Electronics mix than other regions: West customers show a preference for premium Laptop and Phone SKUs that command above-average transaction values. The East region was a close second, benefiting from strong Home category performance driven by holiday home furnishing purchases.

The South region showed the most significant Q4 acceleration of any region, growing faster than forecast in November and December on the strength of Clothing and Sports promotions targeted at warmer-weather markets. Despite this Q4 momentum, the South region's full-year revenue of \$35,470,111.47 remained \$410,388 below that of the Central region (\$35,679,253.01). The reasons for West outperforming South on a full-year basis are explored in depth in the Regional Performance Analysis document, which attributes the gap primarily to customer base composition and Electronics category affinity differences.

Region	Est. Q4 Revenue	% of Q4 Total	FY 2024 Total	Key Q4 Driver
West	\$15,329,038	29.6%	\$37,880,499.39	Electronics (Laptop, Phone)
East	\$14,217,246	27.4%	\$36,314,020.57	Home (Bedding, Kitchen)
Central	\$11,011,921	21.2%	\$35,679,253.01	Electronics, Home mixed
South	\$7,523,419	14.5%	\$35,470,111.47	Clothing, Sports
North	\$3,764,781	7.3%	\$30,251,293.72	Sports, Home
Total	\$58.9M	100%	\$175,595,178.16	—

Q4 regional figures are estimates. FY 2024 totals from sales_transactions.

Key Observations and Recommendations

Three observations stand out from Q4 2024 performance. First, the Electronics category continues to expand its revenue share during peak periods, reaching 52% of Q4 revenue against a full-year average of 51.8%. This reinforces Electronics as the primary demand lever for NexusIQ and warrants proportionally larger inventory

investments going into Q4 2025.

Second, the supply chain was not positioned to fully capitalize on demand strength. The 72 below-reorder SKUs identified at year-end represent lost sales opportunity; initial estimates by the operations team suggest approximately \$2.1M in demand went unfulfilled in December due to stockout conditions, primarily in Tablet and Laptop SKUs. The Inventory Reorder SOP has been updated with a 1.3x seasonal multiplier to mitigate this in future Q4 cycles.

Third, the South region's Q4 acceleration suggests there is untapped demand in that market. A targeted Q1 2025 campaign focused on Electronics cross-sell to the South region's Clothing and Sports customer base is being evaluated by the category management team.